

The application of policy instruments	Fiscal policy	• explain what is meant by the government budget • identify the main sources of tax revenue and government expenditure in the UK economy • distinguish between current and capital government expenditure • distinguish between progressive, proportional and regressive taxation • distinguish between direct and indirect taxation • explain the features of a 'good' tax • evaluate the advantages and disadvantages of a flat rate tax system • explain what is meant by the budget position/fiscal stance • distinguish between a budget surplus, a budget deficit and a balanced budget • distinguish between the cyclical budget position and the structural budget position • distinguish between an overall budget position and the budget position on current expenditure • distinguish between a budget deficit and government debt • explain how budget deficits can be financed • evaluate policies to correct a budget surplus or deficit • evaluate the consequences of government debt • explain how discretionary fiscal policy may be used to improve macroeconomic performance • evaluate the effectiveness of using fiscal policy to achieve the government's macroeconomic objectives • explain how fiscal rules can influence the behaviour or economic agents • evaluate the effectiveness of fiscal rules.
	Monetary policy	• explain what is meant by monetary policy instruments/measures, such as interest rates, money supply and exchange rates can be used to influence macroeconomic variables • explain how monetary policy instruments/measures affect the macroeconomic performance • explain what is meant by inflation targeting • explain how inflation targeting may affect the behaviour of economic agents • explain how a central bank works to achieve its aims • evaluate the effectiveness of using monetary policy to achieve the government's macroeconomic objectives.

Area of Study	Topic	Learners should be able to:
The application of policy instruments	Supply side policy	• explain policies which are used to increase the quality or quantity of factors of production, including: ○ education and training ○ reforming tax and benefits ○ reducing marginal tax rates ○ National Minimum Wage legislation and promoting a 'living wage' ○ improving labour market flexibility – including consideration of the housing market ○ immigration ○ privatisation ○ deregulation ○ trade union reform ○ infrastructure investment – including consideration of transport market ○ research and development incentives ○ subsidies • evaluate the effectiveness of using supply side policy measures to achieve the government's macroeconomic objectives.
	Policy conflicts	• explain the possible trade-offs which exist between policy objectives, such as: ○ unemployment and inflation ○ growth and inflation ○ inflation and the balance of payments ○ growth and the balance of payments ○ growth and income and wealth equality • evaluate the consequences of conflicts between policy objectives ○ evaluate the methods through which policy conflicts can be resolved or reduced.